

Basis of Competition in the Industry

(Price advertising/Advertising/New products/Customer service)

Not all competition reduces profitability. Some forms of competition can benefit the industry as well. Competitors within an industry compete on various grounds—



Price

Competition based on the price leads to firms undercutting each other and this impacts the profitability of the industry.



Effectiveness of Advertising

Competition concerning advertising adds to the firm's costs, but it may also increase awareness about the industry and allow firms to price their products better.

Such competition can be beneficial for the overall industry as well.



New Products Launch

Competition through the launch of products has costs associated with it, but it helps expand the scope of the industry and allows firms to grow faster due to new innovative products with more features and uses.